# Britannia Industries Ltd (NSE: BRITANNIA) - Three-statement model and DCF

*Consolidated financials, Rs crore, fiscal year ending 31 March. Prepared 19-Oct-2026. Educational / portfolio project - not investment advice.*

**KEY OUTPUTS**

| | |
|---|---|
| Active scenario (change on Assumptions sheet) | **Base** |
| DCF value per share (Rs) | **2,692** |
| Current share price (Rs) | **4,764** |
| DCF value vs current price | **(43.5%)** |
| WACC | **10.35%** |
| Terminal growth used | **5.50%** |
| Terminal growth implied by current price | **8.10%** |
| Terminal value as % of EV | **66.4%** |
| Market EV / EBITDA FY27E | **28.4x** |
| Market P/E FY27E | **40.8x** |

| **VALUATION RANGE SUMMARY (Rs per share)** | **Low** | **High** |
|---|---|---|
| DCF (WACC +/- 0.5%, terminal growth +/- 0.5%) | 2,309 | 3,271 |
| Peer P/E x Britannia TTM EPS (low to high) | 3,472 | 5,875 |
| 52-week trading range | 4,734 | 6,271 |

**MODEL INTEGRITY CHECKS**

| | |
|---|---|
| Historical statements tie to reported totals | **OK** |
| Balance sheet balances in every year (hist. + forecast) | **OK** |
| Sensitivity centre cell equals DCF value | **OK** |
| Forecast closing cash equals balance sheet cash | **OK** |

**HOW THE WORKBOOK IS ORGANISED**

Assumptions - every driver, scenario switch and market input (blue cells). Change these and everything flows through.
Historical - FY24A-FY26A consolidated statements typed in from Britannia audited results, with tie-outs to reported totals.
Model - income statement, balance sheet and cash flow, linked: net profit -> equity, working-capital and capex -> cash, cash -> balance sheet.
DCF - WACC, unlevered free cash flow (10 years), terminal value, equity bridge, reverse DCF and implied multiples.
Sensitivity - value per share across WACC and terminal growth. Comps - peer P/E cross-check.

**COLOUR CODE**

Blue text = hard-coded input
Black text = formula
Green text = link to another sheet
Yellow fill = key assumption / headline output

**SOURCES**

Britannia Industries - Audited Consolidated Financial Results, year ended 31-Mar-2026 (media.britannia.co.in; approved 7-May-2026): FY26 and FY25.
Britannia Industries - Audited Consolidated Financial Results, year ended 31-Mar-2025 (media.britannia.co.in; approved 8-May-2025): FY24 comparatives.
Share price, market cap, 52-week range, TTM EPS: Screener.in (16-Oct-2026). Risk-free rate: Trading Economics (India 10-year G-Sec, Sep 2026).
Peer multiples: Upstox peer table (page dated 27-Jul-2026). Beta references: Equentis stock pages (HUL c.0.6, Nestle India c.0.4).

**KEY LIMITATIONS**

Forecast drivers, scenarios, beta, ERP and terminal growth are the modeller's assumptions, not company guidance or consensus.
The balance sheet date is 31-Mar-2026; cash generated and dividends paid since then are not reflected in the equity bridge.
FY25 cash-flow comparatives were regrouped by the company in the FY26 filing; FY24 uses the original FY25 filing presentation.
Forecast cash flow is a simplified indirect build (interest inside net profit); historical cash flows are shown as reported.

## Discounted cash flow valuation

*Unlevered free cash flow to firm, Rs crore. Valuation as of the date on the Assumptions sheet.*

### COST OF CAPITAL (WACC)

| | | |
|---|---|---|
| **Active scenario** | **Base** | |
| Risk-free rate | 7.10% | |
| Equity beta | 0.60 | |
| Equity risk premium | 5.50% | |
| Cost of equity (CAPM) = Rf + beta x ERP | 10.40% | |
| Pre-tax cost of debt | 8.00% | |
| Tax rate | 25.20% | |
| After-tax cost of debt | 5.98% | |
| Market capitalisation (Rs crore) | 114,764.8 | *Current price x shares outstanding* |
| Borrowings incl. leases (Rs crore, 31-Mar-2026) | 1,380.3 | |
| Weight of equity | 98.8% | |
| Weight of debt | 1.2% | |
| **WACC** | **10.35%** | |
| Terminal growth rate | 5.50% | |
| Mid-year convention (1 = on) | 1 | |
| Fraction of FY27E remaining after valuation date | 0.447 | *Only the post-valuation-date part of FY27E cash flow is counted* |

### UNLEVERED FREE CASH FLOW

| ₹ Crore | FY24A | FY25A | FY26A | FY27E | FY28E | FY29E | FY30E | FY31E | FY32E | FY33E | FY34E | FY35E | FY36E |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| EBITDA | | 3,187.2 | 3,544.4 | 3,952.6 | 4,353.1 | 4,747.4 | 5,127.2 | 5,537.4 | 5,952.7 | 6,369.4 | 6,783.4 | 7,190.4 | 7,585.9 |
| Less: D&A | | (313.3) | (336.8) | (317.8) | (328.8) | (342.7) | (359.3) | (378.5) | (400.2) | (424.3) | (450.6) | (478.6) | (508.3) |
| **EBIT** | | **2,873.8** | **3,207.6** | **3,634.8** | **4,024.3** | **4,404.7** | **4,767.9** | **5,158.9** | **5,552.5** | **5,945.1** | **6,332.8** | **6,711.8** | **7,077.6** |
| Less: tax on EBIT | | (724.2) | (808.3) | (916.0) | (1,014.1) | (1,110.0) | (1,201.5) | (1,300.0) | (1,399.2) | (1,498.2) | (1,595.9) | (1,691.4) | (1,783.6) |
| **NOPAT** | | **2,149.6** | **2,399.3** | **2,718.8** | **3,010.2** | **3,294.7** | **3,566.4** | **3,858.9** | **4,153.3** | **4,446.9** | **4,737.0** | **5,020.4** | **5,294.0** |
| Add: D&A | | 313.3 | 336.8 | 317.8 | 328.8 | 342.7 | 359.3 | 378.5 | 400.2 | 424.3 | 450.6 | 478.6 | 508.3 |
| Less: capital expenditure | | (374.9) | (205.6) | (417.7) | (455.3) | (494.0) | (533.5) | (576.2) | (619.4) | (662.7) | (705.8) | (748.2) | (789.3) |
| Less: increase in net working capital | | 17.3 | (193.1) | 24.3 | 40.1 | 41.4 | 42.5 | 45.9 | 46.4 | 46.6 | 46.3 | 45.5 | 44.2 |
| **Unlevered free cash flow (UFCF)** | | **2,105.4** | **2,337.5** | **2,643.2** | **2,923.8** | **3,184.9** | **3,434.7** | **3,707.0** | **3,980.5** | **4,255.1** | **4,528.0** | **4,796.4** | **5,057.2** |
| | | | | | | | | | | | | | |
| Forecast year # | | | | 1 | 2 | 3 | 4 | 5 | 6 | 7 | 8 | 9 | 10 |
| Fiscal year-end | | | | 31-Mar-2027 | 31-Mar-2028 | 31-Mar-2029 | 31-Mar-2030 | 31-Mar-2031 | 31-Mar-2032 | 31-Mar-2033 | 31-Mar-2034 | 31-Mar-2035 | 31-Mar-2036 |
| Fraction of year counted | | | | 0.447 | 1.000 | 1.000 | 1.000 | 1.000 | 1.000 | 1.000 | 1.000 | 1.000 | 1.000 |
| Discount period (years) | | | | 0.223 | 1.947 | 2.947 | 3.947 | 4.947 | 5.947 | 6.947 | 7.947 | 8.947 | 9.947 |
| Discount factor | | | | 0.9783 | 0.8256 | 0.7482 | 0.6780 | 0.6144 | 0.5568 | 0.5046 | 0.4573 | 0.4144 | 0.3755 |
| UFCF counted | | | | 1,180.4 | 2,923.8 | 3,184.9 | 3,434.7 | 3,707.0 | 3,980.5 | 4,255.1 | 4,528.0 | 4,796.4 | 5,057.2 |
| **Present value of UFCF** | | | | **1,154.7** | **2,413.9** | **2,382.8** | **2,328.7** | **2,277.7** | **2,216.4** | **2,147.1** | **2,070.6** | **1,987.6** | **1,899.2** |

### ENTERPRISE VALUE

| | | |
|---|---|---|
| Sum of PV of UFCF (FY27E stub - FY36E) | 20,878.8 | |
| Terminal-year UFCF x (1 + g) | 5,335.4 | |
| Terminal value (Gordon growth) | 110,064.1 | |
| PV of terminal value | 41,333.7 | |
| **Enterprise value** | **62,212.5** | |
| Terminal value as % of enterprise value | 66.4% | |
| Implied terminal EV / EBITDA (on terminal-year EBITDA) | 14.5x | |

### EQUITY BRIDGE (balance sheet as at 31-Mar-2026)

| | | |
|---|---|---|
| Add: cash and cash equivalents | 220.0 | |
| Add: financial investments (non-current + current) | 3,156.2 | |
| Add: other treasury assets (bank balances, loans) | 222.4 | |
| Add: investment in associates and JV (book value) | 453.5 | |
| Less: borrowings incl. lease liabilities | (1,380.3) | |
| Less: non-controlling interests (book value) | (29.3) | |
| **Net adjustments (EV to equity)** | **2,642.6** | |
| **Equity value** | **64,855.1** | |
| Shares outstanding (crore) | 24.09 | |
| **DCF value per share (Rs)** | **2,692.2** | |
| Current share price (Rs) | 4,764.0 | |
| **DCF value vs current price** | **(43.5%)** | |

### WHAT THE MARKET PRICE IMPLIES (reverse DCF) AND MULTIPLES

| | | |
|---|---|---|
| Market enterprise value (Rs crore) | 112,122.2 | |
| **Terminal growth the current price implies (same forecast, same WACC)** | **8.10%** | *Solves the Gordon-growth terminal value for g so that DCF value = market price* |
| EV / EBITDA - FY26A (market) | 31.6x | |
| EV / EBITDA - FY27E (market) | 28.4x | |
| EV / EBITDA - FY27E (at DCF value) | 15.7x | |
| P/E - FY26A (market, reported EPS) | 45.3x | |
| P/E - FY27E (market) | 40.8x | |
| P/E - FY27E (at DCF value) | 23.1x | |

# Sensitivity analysis

*DCF value per share (Rs) - WACC vs terminal growth. Every cell is a live formula (no data table needed).*

| | |
|---|---|
| WACC step | 0.50% |
| Terminal growth step | 0.50% |
| Base WACC | 10.35% |
| Base terminal growth | 5.50% |

**DCF VALUE PER SHARE (Rs)**

| *WACC (down) / terminal growth (across)* | **4.50%** | **5.00%** | **5.50%** | **6.00%** | **6.50%** |
|---|---|---|---|---|---|
| **9.35%** | 2,881 | 3,105 | 3,387 | 3,754 | 4,249 |
| **9.85%** | 2,610 | 2,785 | 3,000 | 3,271 | 3,622 |
| **10.35%** | 2,385 | 2,524 | **2,692** | 2,899 | 3,159 |
| **10.85%** | 2,196 | 2,309 | 2,442 | 2,604 | 2,802 |
| **11.35%** | 2,035 | 2,127 | 2,235 | 2,364 | 2,519 |

**UPSIDE / (DOWNSIDE) VS CURRENT PRICE**

| *WACC (down) / terminal growth (across)* | **4.50%** | **5.00%** | **5.50%** | **6.00%** | **6.50%** |
|---|---|---|---|---|---|
| **9.35%** | (39.5%) | (34.8%) | (28.9%) | (21.2%) | (10.8%) |
| **9.85%** | (45.2%) | (41.5%) | (37.0%) | (31.3%) | (24.0%) |
| **10.35%** | (49.9%) | (47.0%) | **(43.5%)** | (39.2%) | (33.7%) |
| **10.85%** | (53.9%) | (51.5%) | (48.7%) | (45.4%) | (41.2%) |
| **11.35%** | (57.3%) | (55.3%) | (53.1%) | (50.4%) | (47.1%) |

| | | |
|---|---|---|
| **Check: centre cell equals DCF sheet value per share** | **OK** | |
| Inner range (WACC +/- 1 step, g +/- 1 step): low | | 2,309 |
| Inner range: high | | 3,271 |